State of New Jersey

Strategic IT Landscape and Market Analysis Report

SLG Strategy Team

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1. Executive Summary & Macro Landscape

The State of New Jersey has entered a highly dynamic and transformative period of executive leadership, fiscal realignment, and operational restructuring following the January 2026 inauguration of Governor Mikie Sherrill. Succeeding the two-term Murphy administration, Governor Sherrill has immediately pivoted the state's executive focus toward strict government efficiency, departmental accountability, and systemic economic affordability. The current political and economic climate is defined by a mandate to reduce bureaucratic friction while navigating a highly constrained fiscal environment. The incoming administration inherited a projected $3 billion structural deficit, prompting a sharp departure from the previous era of rapidly expanding state surpluses and broad discretionary spending.

During her inaugural budget address in March 2026, titled "Rising to the Mission: A More Affordable & Accountable New Jersey," Governor Sherrill proposed a record $60.7 billion budget for Fiscal Year 2027. However, this budget is uniquely characterized by a push for operational austerity. The proposal includes nearly $2 billion in targeted spending cuts and the closure of corporate tax loopholes to balance the ledger without broadly raising taxes on individual residents. This economic backdrop is critical for enterprise technology vendors: the State of New Jersey is no longer funding technology modernization simply for the sake of digital innovation. Every technology expenditure must now be explicitly justified by its ability to reduce operational costs, consolidate redundant services, or directly accelerate revenue generation and federal grant absorption.

In addition to fiscal tightening, the macroeconomic landscape is heavily influenced by energy constraints and aggressive climate goals. New Jersey's power grid, operating within the broader PJM Interconnection, is experiencing significant strain and rising wholesale costs driven by capacity shortages and the escalating power demands of regional commercial data centers. Consequently, state agencies are under immense pressure to reduce their physical data center footprints and overall power consumption. This creates a highly receptive environment for high-density, energy-efficient infrastructure solutions that can deliver maximum compute performance within strict thermal and power envelopes.

For the current and upcoming fiscal years, the Sherrill administration's core administrative goals are aggressively centered on the following priorities, which will dictate the flow of IT capital:

The primary administrative goal is Government Efficiency and Red Tape Reduction. The administration has created the state's first Chief Operating Officer (COO) position to break down agency silos, modernize outdated systems, and implement public-facing digital tools like the "Permitting Dashboard" to accelerate business approvals and reduce internal processing delays.

The second major goal is Affordability and Property Tax Relief. The administration is directing 47 percent of the total FY2027 budget, amounting to $28.7 billion, to direct and indirect property tax relief programs such as ANCHOR and Stay NJ, as well as municipal aid, to systematically lower the cost of living for residents. Technology solutions that enable the automated,

fraud-resistant disbursement of these funds are highly prioritized.

The third goal focuses on Youth Mental Health, Digital Safety, and Education. The state is launching a comprehensive "Online Safety Agenda" to combat algorithmic harm by Big Tech, establishing a Social Media Research Center, passing legislation to create phone-free school environments, and dedicating a record $12.4 billion to K-12 education.

The fourth administrative priority is Infrastructure and Transportation Reliability. The state is fully funding NJ TRANSIT via a dedicated Corporate Transit Fee, advancing the multi-billion dollar Gateway Tunnel project, and modernizing the Department of Transportation's foundational financial systems to unlock and process maximum federal infrastructure funding.

2. Power Structure & Key Stakeholders

The 2026 executive transition has resulted in a sweeping overhaul of New Jersey's technology, operational, and departmental leadership. Understanding the intricate interplay between the newly appointed executive branch officials and the entrenched legislative appropriations chairs is absolutely vital for navigating complex, multi-year procurement cycles. The following table categorizes the key elected officials, executive operators, and IT decision-makers who dictate the state's overarching technology strategy and capital allocation.

Name & Title	Category	Sphere of Influence	Recent Public Stances on Technology & Operations
Mikie Sherrill Governor of New Jersey	Elected Leadership	Ultimate Financial & Policy Purchaser	Highly critical of "Big Tech" surveillance and algorithmic pricing. Demands stringent accountability, efficiency, and a rapid transition to digital citizen services to cut bureaucratic red tape.
Dale G. Caldwell Lieutenant Governor	Elected Leadership	Policy Influencer	Supports the administration's affordability agenda and works closely with the Governor and COO to optimize state operations and economic development initiatives.
Paul A. Sarlo Chair, Senate Budget & Appropriations	Elected Leadership	Financial Purchaser / Budget Approver	Focuses heavily on fiscal responsibility and the long-term sustainability of state capital projects. Controls the legislative gating and approval of executive IT budget requests.

Eliana Pintor Marin Chair, Assembly Budget Committee	Elected Leadership	Financial Purchaser / Budget Approver	Advocates for strict oversight of agency spending and demands transparency regarding how technology appropriations translate to measurable constituent outcomes.
Kellie Doucette Chief Operating Officer (COO)	Executive Leadership	Operational & Financial Influencer	Inaugural state COO. Tasked with driving inter-agency operational transformations, standardizing platforms, and ensuring IT investments yield measurable cost savings and streamlined customer experiences.
Kevin Dehmer Chief Technology Officer (CTO), NJOIT	IT Leadership	Technical Purchaser & Strategic Director	Appointed Feb 2026. Former Education Commissioner. Focuses heavily on data quality, analytics, and operational efficiency. Mandated to modernize digital infrastructure, clear licensure backlogs, and defend against AI-driven cyber threats.
Dave Cole Chief Innovation Officer, NJIA	IT Leadership	Technical & User Experience Influencer	Leads the newly codified New Jersey Innovation Authority (NJIA). Champions user-centric digital design, the NJ Report Card, and data-driven policy making over legacy infrastructure maintenance.
Michael Geraghty CISO & Director, NJCCIC	IT Leadership	Technical & Compliance Gatekeeper	Nationally recognized cybersecurity expert. Enforces strict NIST 800-53 compliance and the NJRAMP cloud security review process for all state vendors. Focuses on enterprise resilience.
Lookman Fazal Chief Information & Digital Officer, NJ TRANSIT	IT Leadership	Technical Purchaser (Agency Level)	Focuses on massive digital transformations, mobile ticketing, and touchless validation to modernize the large and aging transit organization.

Sharon Pagano CIO & Assistant Commissioner, NJDOL	IT Leadership	Technical Purchaser (Agency Level)	Oversees the Office of Information Management. Focuses on breaking down complex legacy system replacements (like Unemployment Insurance) into targeted improvements that heavily impact claimant user experience. [1]
Eileen Troutman CIO, Department of Health	IT Leadership	Technical Influencer (Agency Level)	Oversees strategic direction for DOH architecture, applications, PMO, IT security, and the statewide health data exchange. Crucial stakeholder for HIPAA-compliant storage. [2]
Priya Jain Acting Commissioner, NJDOT	Agency Leadership	Financial Purchaser (Agency Level)	Focuses on large-scale transportation infrastructure delivery. Requires massive data integration capabilities and secure accounting platforms to manage billions in federal transit reimbursements.
Dr. Stephen Cha Acting Commissioner, DHS	Agency Leadership	Financial Purchaser (Agency Level)	Leads the state's largest department. Manages complex programs including Medicaid and behavioral health. Heavily invested in compliance technology, fraud prevention, and claims processing systems.

The power dynamic within New Jersey has shifted significantly with the introduction of the Chief Operating Officer (COO) role. While CTO Kevin Dehmer controls the foundational IT infrastructure and security posture through the New Jersey Office of Information Technology (NJOIT), COO Kellie Doucette holds the mandate to break down departmental silos and enforce operational standardization. This creates a bifurcated approval process for large technology acquisitions: vendors must satisfy NJOIT's rigorous architectural and security standards while simultaneously proving to the COO and the New Jersey Innovation Authority that the technology will directly improve citizen user experience and reduce inter-agency processing times.

3. IT Governance & Service Delivery Model

The Operating Model: A Consolidated Infrastructure, Federated Application Approach

The State of New Jersey operates under a formalized hybrid IT governance model, heavily shaped by the 2007 Office of Information Technology Reorganization Act and subsequently accelerated by executive mandates, most notably Executive Order No. 225. Under this legislative framework, the New Jersey Office of Information Technology (NJOIT) acts as the exclusive government provider of foundational IT infrastructure and enterprise services for the entirety of the Executive Branch. NJOIT maintains centralized control over the state's foundational technology footprint, operating two primary enterprise data centers, managing over 4,000 physical and virtual servers, securing the enterprise intranet across approximately 1,200 remote locations, and overseeing an aggregated storage environment comprising over 31 Petabytes of data. The agency is staffed by approximately 577 civil servants specializing in network engineering, database administration, and security operations, working in deep coordination with the New Jersey Cybersecurity and Communications Integration Cell (NJCCIC).

However, the architecture remains distinctly federated at the application and data layer. While NJOIT owns the bare-metal servers, the network switches, and the storage arrays, individual agencies and departments retain full responsibility for managing, supporting, and funding their specific mission-critical business applications. Crucially, the agencies act as the ultimate data stewards, retaining the statutory and operational authority to dictate how constituent data is utilized, classified, and potentially shared across the enterprise. This hybrid model requires enterprise technology vendors to execute a highly nuanced, dual-pronged sales strategy. Core infrastructure (compute, storage, network) must be positioned centrally to NJOIT through the lens of architectural standardization, ease of management, and infrastructure consolidation. Conversely, software platforms, data analytics tools, and edge-computing solutions must be sold directly to agency leadership based on their ability to deliver mission-specific business outcomes, improve citizen services, and guarantee data sovereignty.

To govern this complex environment, NJOIT enforces several critical directives. IT Circular 22-07 (Enterprise Infrastructure Consolidation Guidelines) serves as the operational blueprint for mass infrastructure migrations, providing agencies with standardized tools to move workloads from localized, aging agency server rooms into NJOIT's centralized enterprise data centers or approved public cloud environments. Furthermore, the Systems Architecture Review (SAR) process acts as the ultimate technological gatekeeper. Before any agency can procure a new technology platform or significantly alter an existing application, the proposed architecture must pass a rigorous SAR evaluation conducted jointly by NJOIT and the NJCCIC to ensure absolute compliance with enterprise security standards, such as the Statewide Information Security Manual (SISM).

Operational Friction Points and the Chargeback Economy

A fundamental and persistent friction point within New Jersey's IT governance is its reliance on a chargeback cost-recovery model. Unlike states with fully appropriated, centrally funded IT budgets, NJOIT operates much like an internal managed service provider to the executive branch. NJOIT bills individual agencies—such as the Department of Transportation or the Department of Human Services—for their specific consumption of compute resources, storage capacity, and network bandwidth.

This financial structure generates inherent operational tension. Historically, NJOIT has operated from a position of perceived "bureaucratic weakness" due to cultural resistance from agencies that desire total autonomy over their technology stacks and budgets. Agencies frequently complain that centralized IT services are too slow to provision and that the chargeback rates inflate their departmental operational costs. This dynamic frequently leads to instances of "shadow IT," where agencies attempt to procure localized, sub-scale infrastructure or rogue cloud subscriptions under the radar to avoid NJOIT's billing mechanisms. To combat this fragmentation, NJOIT strictly enforces IT Circular 24-04-OMB, which requires comprehensive, formalized justifications from any agency seeking to bypass existing centralized contracts for hardware or software purchases, effectively forcing agencies back into the centralized procurement fold.

The ongoing transition toward public cloud environments and "as-a-Service" models is actively exacerbating this chargeback friction. While NJOIT views initiatives like Mainframe-as-a-Service (MFaaS) and broader cloud migrations as necessary strategic steps to reduce legacy technical debt and optimize enterprise-wide server utilization, individual agencies view these transitions strictly through the lens of their departmental budgets. If a central consolidation effort results in an unpredictable, mid-year spike in an agency's chargeback invoice due to hidden cloud egress fees or poorly optimized storage tiering, agency adoption stalls and political pushback ensues.

To manage this complex financial ecosystem, NJOIT utilizes the Tactical Planning Unit (TPU). The TPU conducts an annual Information Technology Tactical Plan Reporting Process, requiring every executive branch department to provide detailed information on their IT hardware maintenance, software support, end-of-life resources, and new project initiatives. This process allows NJOIT to identify shared infrastructure opportunities and compile a master plan status workbook to forecast anticipated costs. Therefore, the most critical element of any infrastructure proposal to the State of New Jersey is absolute cost predictability and the provision of highly granular, multi-tenant consumption metrics that agencies can easily audit and forecast within the TPU framework.

4. Financials & Budget Breakdown

Total Operating and IT Budget

Governor Mikie Sherrill has proposed a comprehensive state budget of $60.7 billion for Fiscal Year 2027, representing a 1.6 percent increase from the $58.1 billion budget enacted for FY2026. This budget utilizes $3 billion in state surplus funds but heavily emphasizes spending reductions across various sectors to mitigate the inherited structural deficit.

Regarding the specific, aggregated enterprise IT budget across the state, **Data Unavailable**. The State of New Jersey does not publish a single, consolidated line item that captures all decentralized technology spending, software licensing, and localized shadow IT across its 70+ executive branch agencies and authorities. However, key financial indicators within the Appropriations Handbook reveal the massive scale of NJOIT's central operations. For FY2027, NJOIT is projected to process approximately $7.02 million in indirect cost recoveries, which reflects the baseline administrative overhead of its complex inter-agency chargeback operations. Meanwhile, the Office of Management and Budget operates with a $19.4 million appropriation to oversee the broader fiscal architecture of the state.

O&M vs. Capital Investments

The State of New Jersey is actively attempting to shift from legacy, highly cyclical Capital Expenditure (CapEx) funding models to more predictable Operational Expenditure (OpEx) models. This shift is largely driven by NJOIT's mandate to decommission end-of-life hardware, adopt Mainframe-as-a-Service (MFaaS), and migrate appropriate workloads toward hybrid cloud environments. Despite this strategic shift to OpEx for software and flexible cloud workloads, massive net-new capital investments are still required to stabilize the physical foundation of the state's technology ecosystem.

The most critical, high-spend capital IT expenditure currently underway is the **Enterprise Data Center (EDC) Power Stabilization Project**. NJOIT has formally requested $40.2 million in capital funding (out of a $64.8 million total projected cost) to execute the second subphase of a multi-year project to replace the failing, 37-year-old electrical, mechanical, and fire suppression systems at the primary West Trenton enterprise data center. This critical repair project underscores a severe enterprise vulnerability: the state cannot effectively modernize its application layer, deploy advanced AI workloads, or ensure public safety uptime while its core physical infrastructure remains highly susceptible to catastrophic power and cooling failures.

Another major capital-intensive effort is the Next Generation 9-1-1 transition, a massive project designed to replace obsolete analog telecommunications infrastructure with resilient digital IP technology across the state's county-level Public Safety Answering Points (PSAPs). The executive budget has previously recommended $21.8 million to support this initiative, which includes funding the complex, concurrent operation of both legacy and new networks during the multi-year cutover phase to ensure zero downtime for emergency services.

Grants and Federal Funding Influxes

New Jersey's technology modernization is heavily subsidized by federal matching funds, infrastructure grants, and targeted legal settlements. Vendors must meticulously track these funding influxes to identify localized, fully funded procurement cycles outside of standard state appropriations.

- **Federal Transportation Matches:** The Department of Transportation (DOT) processes over $1 billion annually in federal transportation project reimbursements. To ensure these funds are absorbed efficiently and without audit failures, the state is aggressively investing $10 million in upfront capital to modernize the DOT's underlying financial management systems.
- **Medicaid and Healthcare Subsidies:** The FY2027 budget relies on $7.2 billion in state funding for Medicaid, matched by massive federal contributions. Consequently, IT projects within the Department of Human Services (DHS) that streamline Medicaid compliance, automate complex claims processing, secure Protected Health Information (PHI), and prevent fraudulent payouts are highly prioritized for immediate funding.
- **State and Local Cybersecurity Grant Program (SLCGP):** The state is managing tens of millions in federal SLCGP funds. For the current cycle, New Jersey is specifically directing its allocations toward risk management assessments, establishing robust governance structures, and executing a targeted initiative to migrate local government "vanity" domains (.com,.net,.org) to secure, verified.gov domains to enhance public trust.
- **Opioid Settlement Funds:** The state is currently managing over $95 million in opioid recovery and remediation funds. These funds require stringent data tracking, public reporting dashboards, and secure analytics platforms administered by the Department of Human Services to ensure compliance with settlement mandates and optimize the delivery of community-based interventions.

5. Strategic Initiatives & Projects (Focus on Top 3)

The Sherrill administration's intense demand for immediate operational efficiency, enhanced digital citizen services, and strict financial accountability has elevated three specific modernization projects to the absolute top of the state's funding priorities. Each of these projects addresses critical, long-standing technical debt while directly aligning with the Governor's mandate to "Save You Time and Money."

1. NJHIVE Enterprise Financial Management Migration

- **The Executive Mandate:** The primary mandate driving this initiative is the critical need to streamline government operations, ensure the flawless, audit-proof accounting of federal infrastructure funds, and accelerate the delivery of major public works projects, including the multi-billion dollar Gateway Tunnel and ongoing NJ TRANSIT capital improvements.
- **Owning Agency:** The Department of Transportation (DOT), under the leadership of

Acting Commissioner Priya Jain.

- **Underlying IT Requirement:** The FY2027 executive budget proposes a dedicated $10 million upfront capital infusion to fundamentally migrate the DOT's antiquated financial management system onto NJHIVE, the State's modern enterprise accounting platform. This represents a massive data architecture and enterprise resource planning (ERP) overhaul. The underlying IT requirements include the provisioning of high-performance, highly secure storage arrays capable of migrating and deduplicating decades of legacy financial records. Furthermore, the state requires robust compute infrastructure to handle the complex analytics necessary to process over $1 billion in annual federal reimbursements rapidly. This project demands flawless system uptime, advanced data encryption at rest and in transit, and deep integration with NJOIT's centralized security governance frameworks.

2. The Permitting Dashboard and New Jersey Report Card

- **The Executive Mandate:** The administration is aggressively pushing to deliver total government transparency, eradicate the "black box" of bureaucratic delays, and accelerate economic development by cutting red tape for small businesses and large-scale infrastructure developers.
- **Owning Agency:** The New Jersey Innovation Authority (NJIA) led by Chief Innovation Officer Dave Cole, operating in deep partnership with the Office of the Chief Operating Officer under Kellie Doucette. The budget allocates $13.3 million specifically to fund the Innovation Authority's efforts.
- **Underlying IT Requirement:** The state is constructing a highly interactive, public-facing online portal (the NJ Report Card) and a live tracking system (the Permitting Dashboard). This initiative requires a massive, complex consolidation of disparate data silos scattered across dozens of regulatory agencies, including the Department of Environmental Protection and the Department of Community Affairs. The technological foundation demands an agile hybrid-cloud architecture, secure API gateways for seamless cross-agency data integration, and highly scalable web-hosting capabilities to handle unpredictable spikes in public traffic. Furthermore, this initiative exposes a glaring need for enterprise-wide Identity and Access Management (IAM) to unify the constituent experience, moving away from the state's current fragmented ecosystem of isolated login portals.

3. Deepfake Technology Unit & Comprehensive AI Governance

- **The Executive Mandate:** As a core component of the Governor's "Online Safety Agenda," the administration aims to combat deceptive digital media, regulate algorithmic pricing models utilized by "Big Tech," and protect the integrity of the state's digital ecosystem.
- **Owning Agency:** The Department of Law and Public Safety, overseen by Acting Attorney General Jennifer Davenport, working in direct consultation with NJOIT Chief Technology Officer Kevin Dehmer.

- **Underlying IT Requirement:** Legislation mandates the creation of a specialized "Deepfake Technology Unit" to provide technical assistance, forensic expertise, and training to state and local law enforcement regarding the investigation of deceptive audio and visual media. This necessitates the deployment of highly specialized, AI-ready infrastructure. The unit requires immense, scalable unstructured data lakes to store and process massive volumes of high-definition video and audio files securely. Furthermore, it requires high-performance computing (HPC) clusters equipped with advanced GPU acceleration to run complex forensic models and AI detection algorithms locally, ensuring strict chain-of-custody and data sovereignty without relying on commercial public cloud AI services that may present CJIS compliance risks.

6. Procurement, Vendor Landscape, & Compliance

The Procurement Ecosystem

The State of New Jersey operates a highly structured, centralized procurement environment designed to leverage the aggregated buying power of the public sector, minimize legal friction, and ensure strict compliance with state bidding regulations.

- **NJSTART:** This is the State's primary eProcurement portal, managed by the Division of Purchase and Property. It is an absolute prerequisite that all vendors must be registered, fully compliant, and active within the NJSTART ecosystem to be awarded contracts, respond to RFPs, or receive purchase orders from any state agency.
- **NASPO ValuePoint:** To bypass lengthy, bespoke, and politically fraught RFP processes for standard enterprise technology, New Jersey heavily relies on this national cooperative purchasing vehicle. The state maintains active participating addenda for Cloud Solutions (facilitated heavily via Carahsoft) and Computer Equipment, Peripherals & Related Services. This vehicle explicitly includes major OEMs such as Dell Marketing L.P., Hewlett Packard Enterprise (HPE), Pure Storage, and Cisco. **Critically, the current NASPO ValuePoint Master Agreement for Computer Equipment expires on June 30, 2027**.[3] This establishes a strict deadline for agencies attempting to execute multi-year infrastructure refresh cycles.
- **OMNIA Partners:** The state widely utilizes OMNIA for supplementary IT consulting, software solutions, and specialized technology services, allowing agencies to rapidly acquire enterprise agreements and managed services outside of the core hardware procurement cycles.

The Vendor Battlefield

The enterprise infrastructure battlefield within the State of New Jersey is heavily dominated by a few entrenched hardware providers, creating a highly competitive, zero-sum environment for compute and storage footprint expansion.

- **Storage and Compute Incumbents:** Procurement records, public bid results, and active NASPO participating addenda demonstrate a heavy historical reliance on **Hewlett**

Packard Enterprise (HPE), **Pure Storage**, and **IBM** for primary storage and server infrastructure across the executive branch. Pure Storage, in particular, has secured substantial multi-million dollar contracts for block storage expansions and ongoing maintenance renewals. HPE commands a massive footprint in onsite support, networking (via Aruba), and core server hardware.

- **The Immediate HPE Vulnerability:** Recent market shifts indicate that HPE's footprint is highly vulnerable. Surging DRAM and NAND costs, which now account for more than 50% of a standard server's cost, are driving massive instability. HPE CEO Antonio Neri recently warned that these elevated memory and storage prices will persist well into 2027. Consequentially, HPE has actively amended its quoting terms to include the right to reprice existing server and storage orders *between* the quoting phase and actual shipment. This introduces immediate financial unpredictability into NJOIT's highly sensitive chargeback models, creating a distinct, urgent window for competitors to offer guaranteed price stability.
- **Ageing Infrastructure & Technical Debt:** The state is fighting an ongoing war against massive technical debt. With the primary Enterprise Data Center currently operating on 37-year-old electrical and mechanical systems, and disparate agencies historically maintaining siloed, 15-to-20-year-old bespoke applications on aging hardware, there is a massive volume of legacy infrastructure ripe for hyper-converged consolidation, modernization, or strategic cloud repatriation.

Compliance and Regulatory Drivers

Technology sales in New Jersey cannot proceed without clearing rigorous, uncompromising security and data governance gating mechanisms enforced by the CISO.

- **NJRAMP and StateRAMP:** The New Jersey Cybersecurity and Communications Integration Cell (NJCCIC) strictly enforces "NJRAMP," a comprehensive third-party security due diligence review process heavily modeled on NIST-800-53 standards and the Statewide Information Security Manual (SISM). Furthermore, New Jersey is an active participant in GovRAMP/StateRAMP. Any SaaS, PaaS, or IaaS solution proposed to the state must meet verified continuous monitoring requirements and achieve appropriate impact-level categorizations to be listed on the authorized vendor list.
- **New Jersey Data Protection Act (NJDPA) & HIPAA:** The state recently amended the NJDPA to grant specific exemptions for non-PHI (Protected Health Information) data *only if* that data is handled under stringent, HIPAA-level security protocols. Consequently, any storage arrays, data lakes, or analytics platforms sold into high-compliance agencies like the Department of Health or Human Services must natively feature zero-trust architecture, immutable snapshots, and advanced data-at-rest encryption to satisfy these heightened privacy mandates.
- **AI Governance and Algorithmic Regulation:** Governor Sherrill's administration has adopted an intensely critical stance toward unregulated artificial intelligence, deceptive media, and algorithmic harm. The proposed "Deepfake Technology Unit" and broader legislative crackdowns on algorithmic pricing mean that vendors pitching AI solutions

must lead with ethical AI governance frameworks, secure private-cloud data staging capabilities, and absolute guarantees of data sovereignty.

7. Actionable Dell Opportunities

The convergence of Governor Sherrill's strict austerity measures, NJOIT's aggressive infrastructure consolidation mandate, and widespread legacy technical debt creates a highly favorable, target-rich environment for Dell Technologies. To win in this landscape, Dell Account Executives must elevate their conversations far beyond standard hardware specifications and directly address the state's desperate need for cost predictability, multi-cloud flexibility, and inter-agency operational efficiency.

- **Funded Alignment: Data Center Modernization & NJHIVE ERP Overhaul**
  The State has formally requested $40.2 million to execute the critical Enterprise Data Center Power Stabilization project, while concurrently funding the $10 million NJHIVE accounting platform migration for the Department of Transportation. This presents an immediate, massive opportunity to position **Dell PowerEdge** servers and **Dell APEX** infrastructure-as-a-service. As NJOIT rebuilds the physical foundation of its data center, deploying APEX allows the state to drastically reduce its physical hardware footprint, directly lowering power consumption and cooling demands—a critical win given the highly constrained PJM energy market and the state's climate goals. Furthermore, APEX's consumption-based pricing model perfectly solves NJOIT's internal chargeback friction. It allows NJOIT to bill the DOT for its massive NJHIVE compute demands using exact, transparent metrics, rather than forcing the agency to absorb unpredictable capital spikes that typically derail modernization efforts.
- **Whitespace & Advisory: Endpoint Security via SLCGP & Taming Unstructured Data**
  Governor Sherrill's administration is forcefully demanding unprecedented data transparency while simultaneously cracking down on unregulated artificial intelligence. Furthermore, the state is actively directing federal State and Local Cybersecurity Grant Program (SLCGP) funds toward specific risk management protocols and a massive initiative to migrate municipal "vanity" web domains to secure .gov frameworks. Dell can immediately lead with high-level advisory services that tackle these parallel challenges. By leveraging SLCGP momentum, AEs can position **Dell Client Solutions** and endpoint security advisory frameworks to lock down edge vulnerabilities. Simultaneously, Dell can pitch **Dell PowerScale** storage and **AI-Ready Infrastructure** to map the state's unstructured data pipelines into highly secure, on-premises AI environments. This strategy ensures strict compliance with the newly amended NJDPA and perfectly aligns with the administration's anti-Big Tech security mandates without relinquishing data sovereignty.
- **Competitive Displacement: Exploiting HPE Pricing Volatility and NASPO Deadlines**
  The state's current heavy reliance on Hewlett Packard Enterprise and Pure Storage represents a major vulnerability that is ripe for an aggressive rip-and-replace intervention. HPE's recent move to reprice server and storage orders before shipment

fundamentally destroys the cost predictability that New Jersey agencies desperately need. Dell AEs must weaponize this financial volatility immediately. By leveraging Dell's active NASPO ValuePoint contract—and establishing urgency around its June 30, 2027 expiration date [3]—Dell can offer NJOIT guaranteed price stability, reliable supply chain delivery, and predictable long-term maintenance costs that HPE currently cannot. Furthermore, rather than allowing decentralized agencies to continue purchasing isolated, sub-scale Pure Storage arrays, Dell should pitch **Dell PowerStore** and **PowerProtect Data Manager** as an enterprise-wide consolidation play. By conclusively demonstrating that a unified Dell storage fabric offers superior zero-trust security and cost certainty, Dell can actively displace fragmented competitor deployments during this period of intense fiscal scrutiny.

Works cited

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